

Intermodal Motor Carriers Conference, et al.

v.

Ocean Carrier Equipment Management Association, Inc., et al.

FMC Docket No. 20-14

**Evergreen Joint Line Service Agreement's
Supplemental Motion for Summary Judgment**

Public Version – Confidential Materials Excluded

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INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.
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)
)
Complainant,
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)
)
v.
)
) FMC Docket No. 20-14
)
OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC.; CONSOLIDATED CHASSIS
MANAGEMENT, LLC; CMA CGM S.A.; COSCO
SHIPPING LINES CO. LTD.; EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982;
HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK
A/S; MSC MEDITERRANEAN SHIPPING
COMPANY S.A.; OCEAN NETWORK EXPRESS
PTE. LTD.; WAN HAI LINES LTD.; YANG MING
MARINE TRANSPORT CORP.; AND
ZIM INTEGRATED SHIPPING SERVICES,
)
)
) Respondents.
)
)

Pursuant to 46 C.F.R. §502.70, Respondent Evergreen Line Joint Service Agreement (“Evergreen”) hereby moves that summary judgment be granted in its favor.

Evergreen is participating in and fully supports the Motion for Summary Judgment filed by all Respondents. Evergreen is filing this supplemental motion because it is uniquely situated with respect to the provision of chassis; and, as set forth more fully in the accompanying memorandum, the facts unique to Evergreen justify a grant of summary judgment in its favor.

Respectfully submitted,

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Date: April 29, 2022

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OCEAN CARRIER EQUIPMENT MANAGEMENT ASSOCIATION, INC.; CONSOLIDATED CHASSIS MANAGEMENT, LLC; CMA CGM S.A.; COSCO SHIPPING LINES CO. LTD.; EVERGREEN LINE JOINT SERVICE AGREEMENT, FMC NO. 011982; HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK A/S; MSC MEDITERRANEAN SHIPPING COMPANY S.A.; OCEAN NETWORK EXPRESS PTE. LTD.; WAN HAI LINES LTD.; YANG MING MARINE TRANSPORT CORP.; AND ZIM INTEGRATED SHIPPING SERVICES,	)	FMC Docket No. 20-14
Respondents.	)	

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Respondent Evergreen Line Joint Service Agreement (“Evergreen”) submits this memorandum of law in support of its supplemental motion for summary judgment in the above-captioned proceeding (the “Complaint”).

I. Joinder

As noted in the foregoing motion, Evergreen is participating in and fully adopts and joins in the motion for summary judgment filed on behalf of all Respondents (“Respondents’ MSJ”). Evergreen is filing this supplemental motion because it is uniquely situated with respect to the provision of chassis¹; and, as set forth more fully in the accompanying memorandum, the facts unique to Evergreen justify a grant of summary judgment in its favor.

II. Complainant’s Allegations Against Evergreen

The Complaint (¶ 60) alleges that Evergreen restricts chassis usage to DCLI at certain locations, and denies chassis choice in other locations by enforcing “Box Rules” and/or using single provider pools. It also alleges that Evergreen improperly assesses “per diem” charges against motor carriers. The Complaint alleges that such conduct on the part of ocean carriers (including Evergreen) harms motor carriers by inflating chassis usage fees for chassis used to perform merchant haulage drayage moves (“MH”). This alleged harm is supposedly compounded by the terms of contracts between ocean carriers and intermodal equipment providers (“IEPs”) under which artificially low chassis usage rates charged to the ocean carrier for chassis used to perform carrier haulage drayage moves (“CH”) are “subsidized” by the MH usage fees the IEP charges for MH moves. This alleged subsidization is purportedly made

¹ [REDACTED] Manning Dep., p.164 l.25-p.165 l.4 . [Bracketed text ours]. Manning is the former President of TCW (Manning Dep., p. 22 l.21 – p.24 l.3), a major IMCC member. Manning also served as Chairman of the Board and President of Complainant, IMCC, as well as a member of the Board of the American Trucking Association. Manning Dep., p .42 l.6 – p.44 l.23, p.46 l.4 – p.47 l.8. Testimony from the transcript of the deposition of Mr. Manning is attached to the Appendix accompanying Respondents’ MSJ as APP 0068 - 0094.

possible by ocean carriers denying motor carriers the ability to use a chassis provided by an IEP of the motor carrier's own choosing. In addition to the grounds discussed in Respondents' MSJ, these allegations are also not supported as to Evergreen by the undisputed facts discussed below.

III. Procedural History

Evergreen adopts fully and incorporates herein by reference the procedural history set forth in the memorandum of law supporting Respondents' MSJ.

IV. Statement of Facts

Evergreen adopts fully and incorporates herein by reference the Statement of Material Facts attached to Respondents' MSJ. However, for the convenience of the Presiding Officer, Evergreen also attaches hereto as Exhibit A, a separate Statement of Material Facts relevant to Evergreen.

V. Applicable Legal Standard

It is appropriate to grant a motion for summary judgment when there is no genuine issue of material fact and the movant is entitled to judgment as a matter of law. F.R.C.P. 56. The Federal Maritime Commission's Rule of Practice and Procedure do not expressly provide for summary judgment. However, 46 C.F.R. §502.12 provides that the Commission follows the Federal Rules of Civil Procedure to the extent consistent with sound administrative practice. The FMC applies F.R.C.P. 56. *See, e.g., Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 32 S.R.R. 1185 (FMC 2013).

VI. Argument

Summary judgment must be granted in favor of Evergreen because the material facts with respect to Evergreen's chassis policies are undisputed and Evergreen is entitled to judgment as a matter of law. Simply put, the undisputed facts do not support any of Complainant IMCC's allegations against Evergreen.

A. Evergreen Provides Chassis To Motor Carriers Free Of Charge

As set forth in the accompanying Statement of Material Facts appended hereto as Exhibit A, Evergreen obtains chassis from IEPs at a single, fixed contractual daily rate for use in both CH and MH. It makes these chassis available to motor carriers to perform MH with respect to the cargo of Evergreen's customer pursuant to the UIIA, Evergreen's UIIA addendum, and Evergreen's tariff. Motor carriers receive use of these chassis for MH free of charge for the day of delivery plus 4 business days (Saturdays, Sundays, and holidays excluded). Evergreen's customers pay a Chassis Usage Charge if they want Evergreen to provide a chassis to the motor carrier for MH. If an Evergreen customer opts to have their motor carrier use a chassis other than one provided by Evergreen for MH, the customer and its motor carrier can use their own chassis or a chassis provided by an IEP. The only time Evergreen charges a motor carrier for use of a chassis is if the chassis is not returned within the free time period. If the motor carrier does not return the chassis within the free time period, Evergreen charges a per diem rate of \$20 per day commencing the day after free time expired and running until the chassis was returned. See Exhibit A hereto.

B. Motor Carriers Are Not Overcharged For Evergreen MH Chassis

Because it is undisputed that Evergreen pays the daily usage fees for MH chassis and motor carriers do not, Complainant's allegation that motor carriers are overcharged for chassis used in MH moves is untrue insofar as the movement of Evergreen containers is concerned. In fact, as noted above, motor carriers are not charged at all unless *per diem* charges are assessed for failing to return the chassis before the expiration of free time.

Even when a motor carrier does not return the chassis on time, it will always be in a better position using a chassis provided by Evergreen than if it had obtained a chassis from the

IEP of its own choosing, unless it retains the chassis for more than a month. To illustrate this point, consider the cost to the motor carrier of two chassis used for Evergreen MH moves: one provided by Evergreen and one obtained by the motor carrier from NACPC. Assume each chassis is returned 30 days after it was delivered.

On these facts, the motor carrier would be liable to Evergreen for per diem charges of \$500 (30 days – 5 days free time = 25 days x \$20/day = \$500). In contrast, the motor carrier's liability to NACPC would be \$517.50 (30 days of chassis usage at \$17.25/day).

Another example would be the return of a chassis on the last day of free time. In that case Evergreen would charge the motor carrier nothing while NACPC would have charged \$86.25 (5 days x \$17.25/day).

In short, the undisputed facts demonstrate that motor carriers are not overcharged for chassis used in performing Evergreen MH moves. Indeed, the motor carriers are not charged at all.

C. There Is No Difference In Evergreen's Daily Usage Fees For CH And MH

As noted above, a substantial part of the IMCC complaint is that contracts between the IEPs and ocean carriers provide lower chassis usage rates for CH chassis, which rates are subsidized by higher MH chassis usage rates. This argument is irrelevant to Evergreen which pays the same usage rate to its IEPs regardless of whether it is a CH or MH move.²

D. Choice Is Moot For Evergreen MH Moves

The Complaint alleges that motor carriers are harmed by paying higher daily chassis usage rates for MH moves when ocean carriers refuse to allow the motor carrier to select the chassis

²

Testimony from the transcript of the deposition of Mr. Wang is attached to the Appendix accompanying Respondents' MSJ as APP 0606 – 0623).

provider. However, according to Chris Giltz, the chairman of Complainant IMCC, [REDACTED]

[REDACTED]

(Giltz Dep., p.153 l.6-14; Giltz Dep., p.84 l.14-17)³

Because motor carriers do not pay for the chassis used to perform MH for Evergreen containers, choice is not an issue. In other words, the alleged restriction to the use of DCL chassis in certain locations, the application of box rules at other locations, and the use of single provider pools in still other locations, are all irrelevant. [REDACTED]

[REDACTED]

Confirming Mr. Wang's recollection was the testimony of Mark George, Chairman of the motor carrier owned IEP NACPC as well as the Vice Chairman, Board, and Executive Committee Member of IMCC who admitted that [REDACTED]. (Mark George Dep., p. 204 l.15-22).⁴

E. Evergreen Nonetheless Allows Choice

Notwithstanding that motor carrier choice is not an issue under Evergreen's business model, the fact is that Evergreen does allow choice. Evergreen's witness, Tom Wang, testified that Evergreen allows choice when requested by the customer or when the motor carrier requests choice with the approval of the BCO or NVO. (Wang Dep., p.149 l.13 – p.155 l.18, APP 0606 – 0623).

Tom Wang also identified that Home Depot, as a BCO customer, requested choice and received it from Evergreen. (Wang Dep., p.153 l.6-8, APP 0606 – 0623). Email exchanges

³ Testimony from the transcript of the deposition of Mr. Giltz is attached to the Appendix accompanying Respondents' MSJ as APP 0145 – APP 0153.

⁴ Testimony from the transcript of the deposition of Mark George is attached to the Appendix accompanying Respondents' MSJ as APP 0154 – APP 0195.

between Evergreen and Respondent CCM, detail a list of BCO and NVO customers whose requests to use their own chassis provider were granted by Evergreen. See Exhibit B hereto.

VII. Conclusion

Insofar as Evergreen is concerned, motor carriers are not being forced to pay for chassis usage, much less to pay excessive amounts. Motor carriers are not being forced to use third party IEPs, are not being forced to pay any chassis usage to IEPs or Evergreen, and are not being denied choice. Based on the admissions of Complainant's own chairman, Giltz Dep., *supra*, Evergreen's business model as the chassis provider is not unjust or unreasonable. Moreover, no IMCC member using an Evergreen chassis has suffered any financial overcharge or financial injury resulting from Evergreen's business model.

In light of the foregoing, it is undisputed that none of the allegations contained in the Complaint pertain to Evergreen's conduct and, accordingly, Evergreen is entitled to summary judgment in its favor.

Respectfully submitted,

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